



FRENCH PLASTIC BIO AND MINERAL COMPOUND FIRM

BUSINESS STRATEGY

PESTEL ANALYSIS



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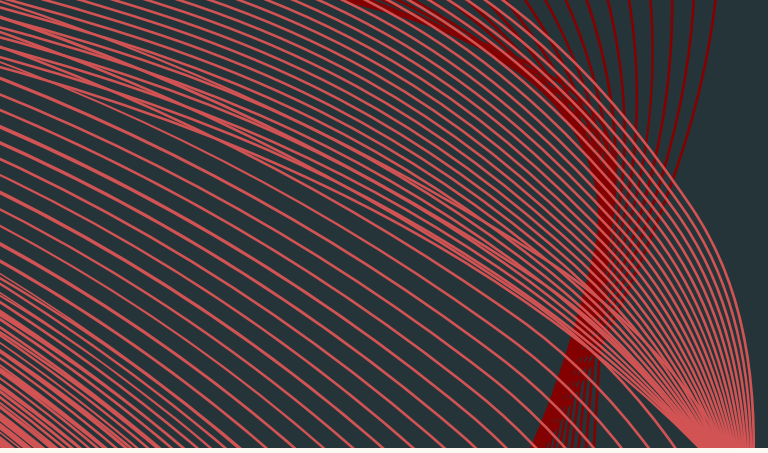


INTRODUCTION

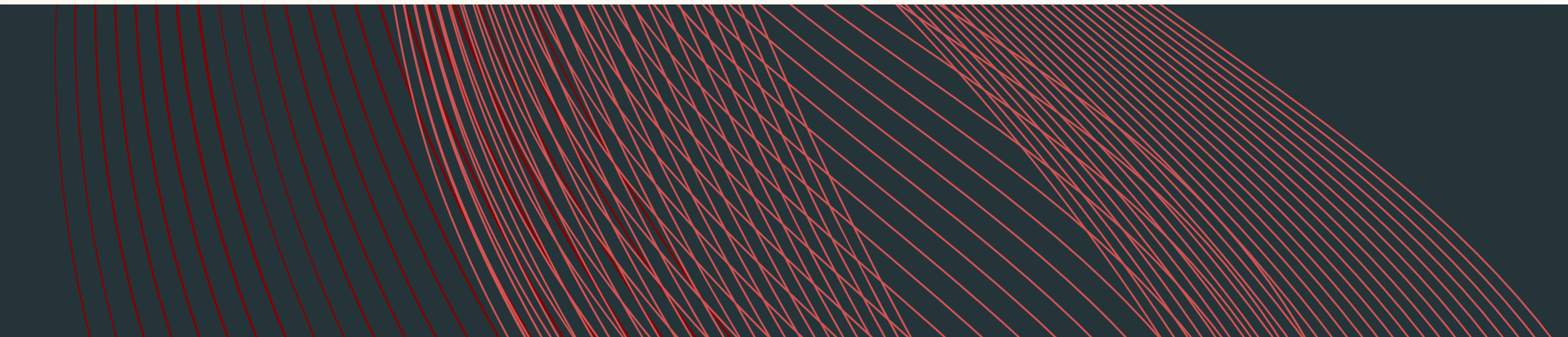
PESTEL is a strategic framework that analyzes the external Political, Economic, Social, Technological, Environmental, and Legal factors influencing an organization or market.

6 FACTORS INVOLVED IN PESTEL ANALYSIS

P	POLITICAL FACTORS Responsible for evaluating how legal issues affect a company's ability to be profitable and successful.
E	ECONOMIC FACTORS It consists of examining the external economic problems that can affect a company's success.
S	SOCIAL FACTORS companies can assess the socioeconomic environment of the market.
T	TECHNOLOGICAL FACTORS Technology introduces new products, new technologies, and services.
E	ENVIRONMENTAL FACTORS Companies must evaluate environmental impact as consumers increasingly want eco-friendly products.
L	LEGAL FACTORS Companies need to stay informed about changes in labor laws and regulations.



MISSION CONTEXT



- **Mission:** Expand the activity of a French bio and mineral plastic compound firm across Europe.
- **Strategic Objective:** Leverage the European macro-environment to drive growth in sustainable materials.
- **Visual:** A photo of bio-plastic products or a factory producing sustainable materials.

MACRO ANALYSIS

1 SUSTAINABILITY

The EU strongly emphasizes sustainability (e.g., the Green Deal, reducing single-use plastics, promoting biodegradable materials), offering potential funding and incentives for eco-friendly innovation.

2 POLITICS

Political stability across the EU can vary by member state, and developments like Brexit can affect trade agreements, regulatory frameworks, and overall market access.

POLITIC

MACRO ANALYSIS

1 ECONOMY

Europe's diverse economy, with varying growth rates and consumer spending power, is influenced by inflation, energy price fluctuations, and post-pandemic recovery. While stable eurozone interest rates support investments, cost variations

2 POLITICS

Labor costs and skill availability vary by region: Western Europe typically offers a highly skilled but more expensive workforce, whereas Eastern Europe may require more training despite lower wages. Overall high purchasing power especially in Western and Northern Europe allows for premium pricing of sustainable products if the eco-friendly value is clearly communicated.

ECONOMIC

MACRO ANALYSIS

1 ECO-CONSCIOUSNESS

Europe's growing eco-consciousness drives demand for recyclable, biodegradable, and low-carbon materials, creating strong opportunities for companies with a clear "green" value proposition and adherence to CSR standards.

2 DEMOGRAPHIC

Cultural and demographic variations (e.g., aging populations, urbanization) mean consumer preferences differ across regions, requiring tailored strategies and marketing to meet local sustainability expectations.

SOCIAL

MACRO ANALYSIS

1 INNOVATION

Europe's robust innovation ecosystem and adoption of Industry 4.0 technologies (automation, IoT) enable advanced R&D in bio-based and mineral compounds, reducing production costs and enhancing competitiveness.

2 PARTNERSHIPS

Partnerships with universities, specialized centers, and a strong digital presence (B2B e-commerce) support the development and marketing of sustainable materials, bolstering brand visibility across diverse European markets.

TECHNOLOGY

MACRO ANALYSIS

1 REGULATIONS

The EU's strict environmental regulations and circular economy focus create strong opportunities for companies that offer eco-friendly, recyclable, or compostable materials, highlighting lower carbon footprints and responsible end-of-life solutions.

2 WASTE MANAGEMENT

Europe's mature (though varied) waste management infrastructure supports partnerships that can bolster a firm's sustainability profile and competitiveness in meeting ambitious climate and recycling targets.

ENVIRONMENT

MACRO ANALYSIS

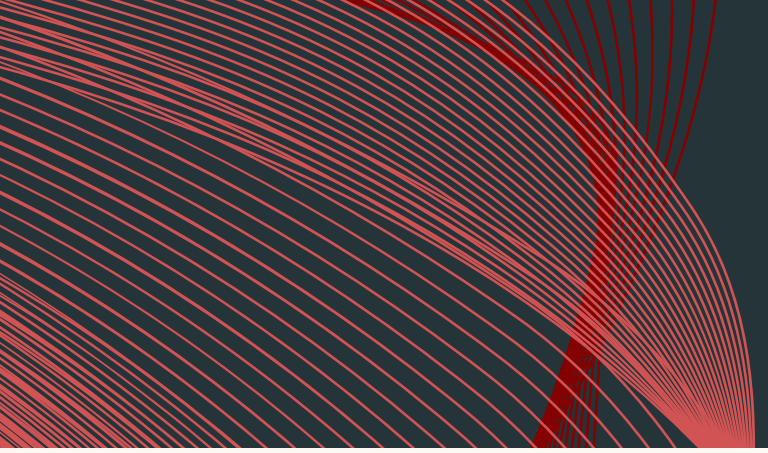
1 LABELING

EU single-market directives impose uniform product standards and labeling, with national regulations (e.g., plastic taxes, EPR) potentially adding extra costs. Bio-based or mineral compounds can help reduce certain fees and align with stricter sustainability rules.

2 IP FRAMEWORKS

Robust IP frameworks encourage investment in proprietary formulas, but strict labor and safety regulations must be met at both EU and country levels, influencing operational costs and HR policies.

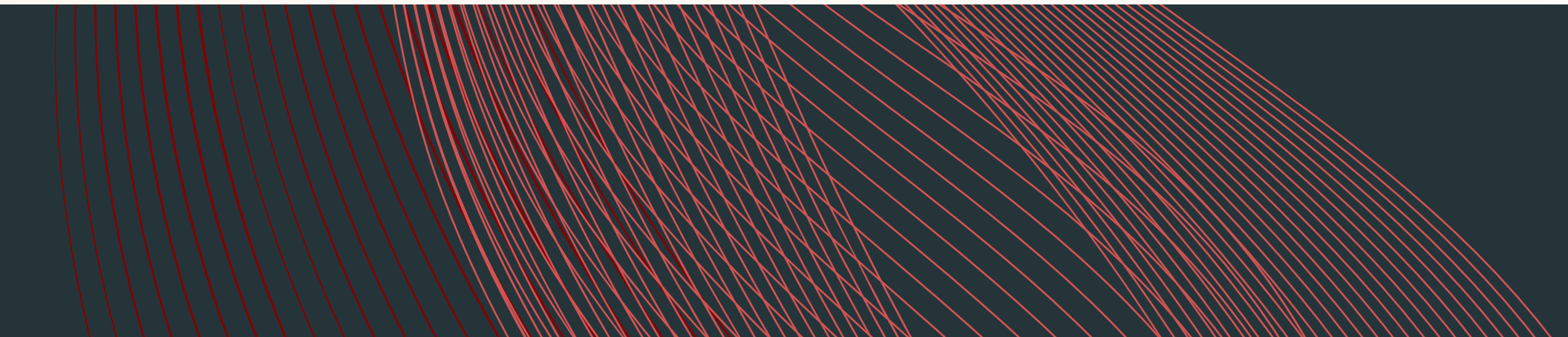
LEGAL



SECONDARY **DATA**

Secondary data is information that has already been collected by others (research institutes, public bodies, companies, etc.) and reused for a new analysis or a purpose other than that for which it was originally collected.

E.g: McKinsey, Deloitte, PwC, HBR...



PESTEL POLITICS

Secondary Data:

McKinsey + EU Commission

McKinsey Study (2022)

74% of manufacturing industry leaders in Europe anticipate stricter environmental regulations, aligning with the EU Green Deal's objectives.

EU Commission (2022)

The European Commission plans to increase restrictions and sanctions for companies using single-use plastic packaging

Source Complementarity

These findings corroborate ChatGPT's initial analysis on the EU's enhanced sustainability policies

PESTEL ECONOMIC

Secondary Data:

Deloitte Insights + PwC

Deloitte Insights (2023)

Projects the global bioplastics market could expand by over 15% by 2028.

PwC (2022)

Highlights ongoing volatility in Europe's energy prices since 2021.

Source Complementarity

These findings strengthen prior insights, indicating Europe's rapidly evolving market for sustainable projects, while acknowledging that energy price fluctuations pose a notable challenge.

PESTEL SOCIAL

Secondary Data:

European Bioplastics + Mintel

European Bioplastics (2022)

Reports that 61% of respondents are willing to pay more for biodegradable or compostable packaging, reflecting a growing eco-conscious mindset in Europe.

Mintel (2024)

Finds that the environment remains a top three consideration during purchase decisions.

Source Complementarity

These insights reinforce the heightened social emphasis on sustainability, with CSR-driven hiring trends adding further momentum to this shift.

PESTEL TECH

Secondary Data:

BCG

BCG (2022)

Over 40% of chemicals tested in Europe are classified as “Green Chemistry,” aiming for carbon neutrality.

Source Complementarity

These findings support our initial analysis, highlighting advanced innovation efforts in sustainable solutions across Europe.

PESTEL ENVIRONMENT

Secondary Data:

EU Commission + WWF

EU COMMISSION (2023)

Highlight stricter rules on recycling, compostability, and the integration of recycled materials, underscoring the collective push to reduce CO₂ emissions.

WWF (2024)

Introduced heavy taxes and, in some instances, outright bans on conventional plastics, reinforcing broader regulatory goals for sustainability across Europe.

Source Complementarity

These insights reinforce the heightened social emphasis on sustainability, with CSR-driven hiring trends adding further momentum to this shift.

PESTEL LEGAL

Secondary Data:

EU Commission + WIPO

EU COMMISSION (2024)

Confirm stricter EPR requirements, imposing new financial obligations on producers who do not use recyclable or compostable materials.

WIPO (2024)

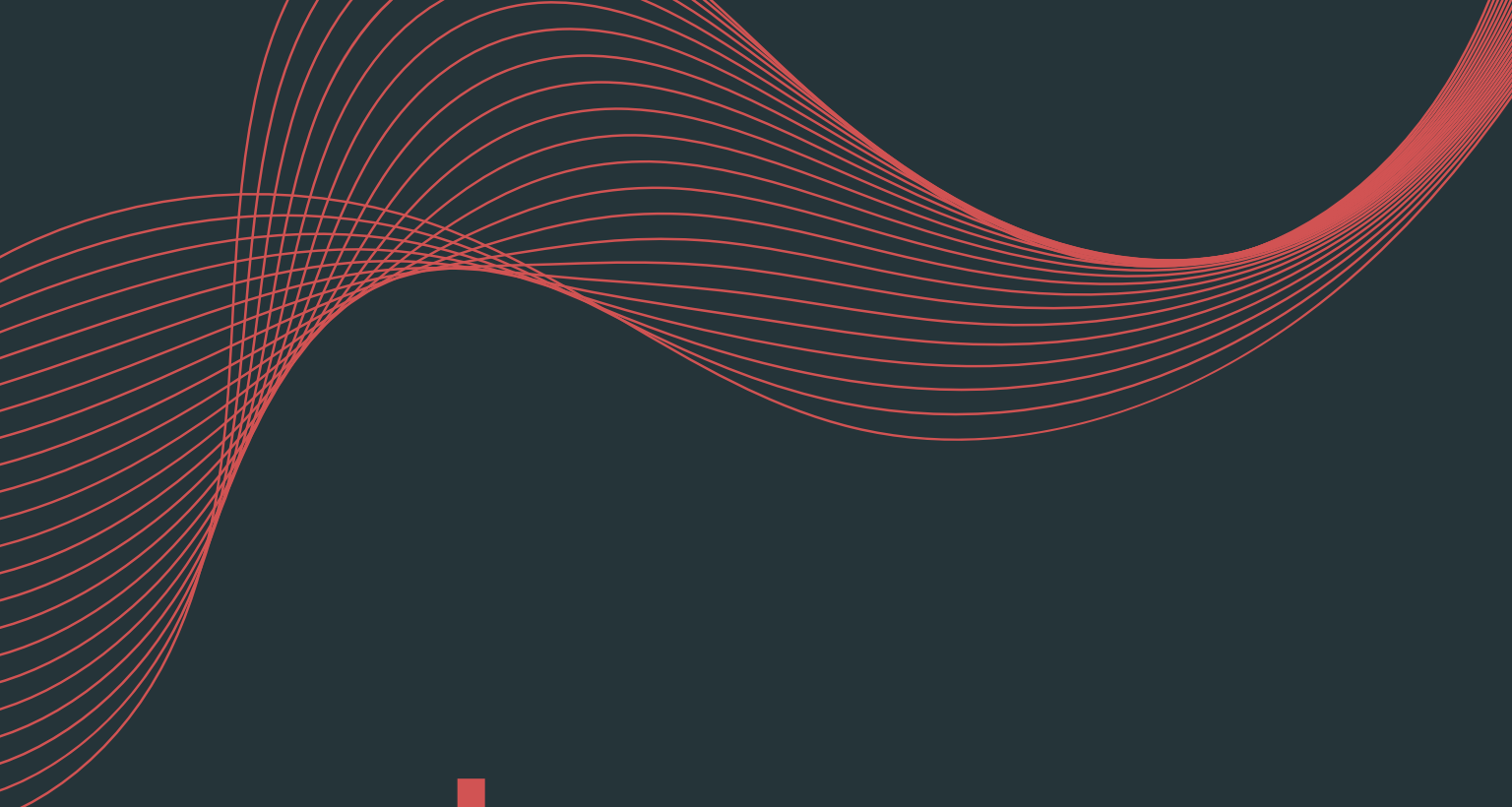
Indicate a rise in the number of green patents, underscoring the need for strategic multi-country patent filings to safeguard innovative, eco-friendly solutions.

Source Complementarity

These insights reinforce the heightened legal emphasis

SUMMARY

Macro-Environmental Factors	Nature of Influence (Threat/Opportunity)	Level of Importance (1-5)	Strategic Consequences
Political	Opportunity	5	Stricter EU regulations (e.g., Single-Use Plastics Directive) create demand for biodegradable materials. Leverage EU funding and incentives for eco-friendly innovation.
Economic	Both (Threat/Opportunity)	4	Growing bioplastics market (15% by 2028) offers opportunities, but energy price volatility poses cost challenges. Focus on cost-efficient production and premium pricing in Western Europe.
Social	Opportunity	5	Rising consumer demand for eco-friendly products (61% willing to pay more) supports market expansion. Tailor marketing to regional preferences.
Technological	Opportunity	4	Advances in recycling and bioplastics innovation reduce costs and improve competitiveness. Invest in R&D and Industry 4.0 technologies.
Environmental	Opportunity	5	EU waste management targets (55% recycling by 2025) drive demand for sustainable materials. Highlight lower carbon footprints and compostability.
Legal	Both (Threat/Opportunity)	4	Stricter EPR requirements and IP frameworks encourage innovation but increase compliance costs. Ensure adherence to EU and national regulations.



MACRO ANALYSIS

ChatGpt provides good analysis but not enough detail

Thanks to the seconadaire data, we can have a clearer idea of the macro environment, with quantified data

BAIN
& COMPANY



McKinsey
& Company

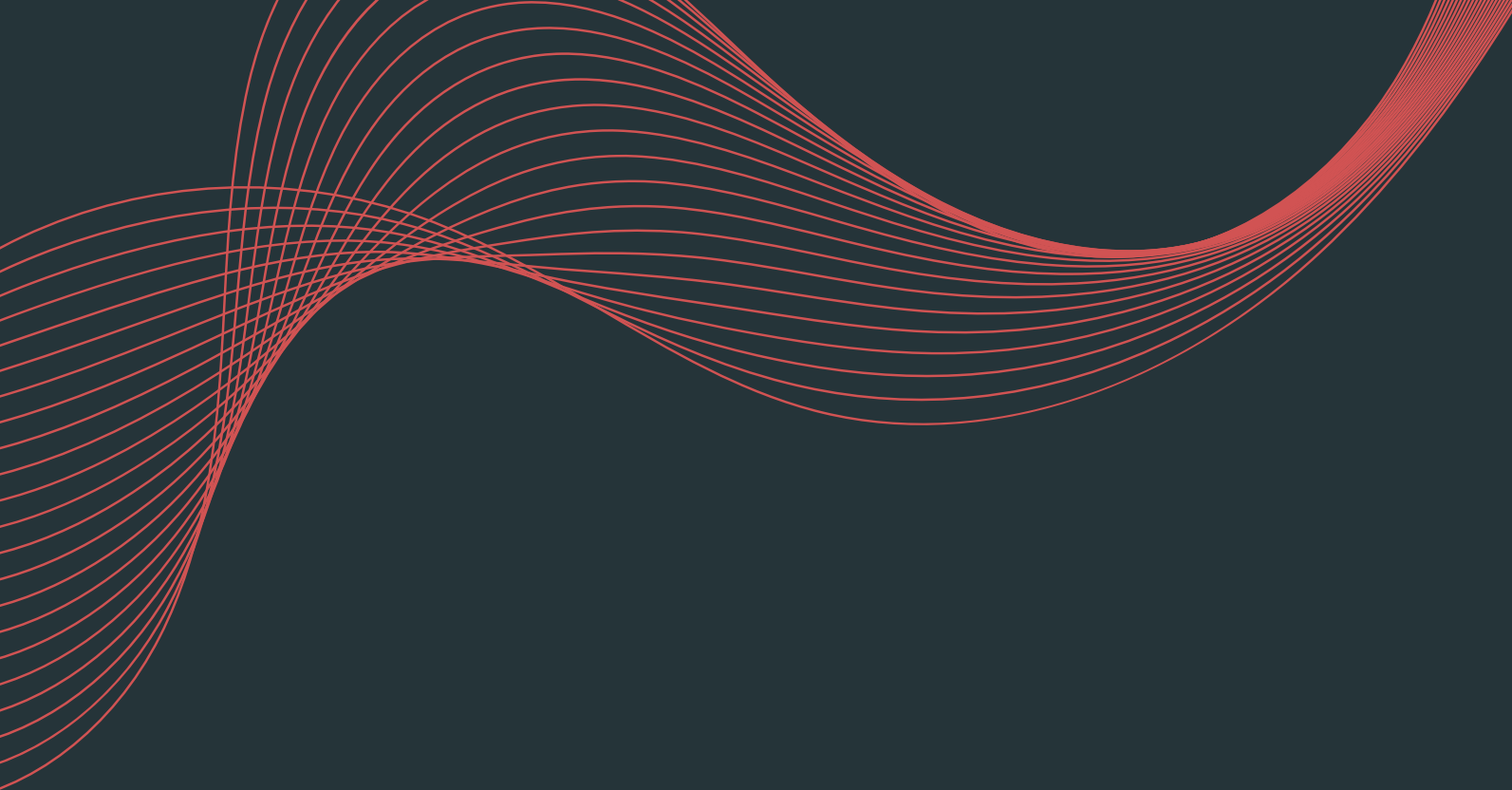
BCG

Deloitte.

pwc



EY



THANK YOU